

what types of policies may be a good fit for you, and why it is so important in your life.

What Is Insurance?

In the simplest terms, insurance helps you pay for things that you need to pay for in cases of loss, damage, accidents, or similar situations. If you crash your car and you have GEICO insurance, then GEICO is going to help you pay for the damages. You may be wondering, “Why in the world would GEICO help me pay for these damages?” They do it because you have paid them a **premium**, which is a cost that you pay, usually on a monthly basis, in exchange for insurance coverage. Because you have paid your premium, your insurer will pay for services covered in your insurance policy—in this case, for expenses resulting from a collision. Insurance companies are able to pay for super-expensive damages or bills because they usually have many, often millions, of people paying them premiums every month. Sticking with the GEICO example, all the customers of GEICO give the company money (a premium), and GEICO uses this massive supply of money to pay for the accidents and incidents that their customers get into. While every type of insurance (auto, health, renter’s, and so forth) is unique, this is the basic formula for all of them.

The agreement covering the details of your insurance coverage, including how long your insurance coverage will last, how much you pay each month, which services are covered, and so forth, is called your **insurance policy**. It is important to understand that insurance does not cover every expense; it only helps to pay for your covered services. **Covered services** are the services that your insurance provider agrees to help pay for in your